Fearnleys Weekly Report

Week 47 - November 18, 2020

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Tankers

VLCC

The December MEG program has kicked off with a yawn. The Chinese are “programming” Chinese ships under so called “COA” terms, so far needing little aid from third party VLCC owners. The position list, albeit well stocked, has thinned somewhat of modern unrestricted units. One owner “scored” yesterday, fixing a W28.5 for a replacement job MEG/China off a prompt laycan. Alas, it was the exception that confirms the rule, as later laycans are likely priced closer to W25 – with a couple of points off for older and/or ex d/d types. In the Atlantic our own Equinor also got a premium for one of their relets, fixing a USG/China run at $5 million lumpsum, well up from last done - but again off a laycan where the competition was limited. Time will tell, but we doubt it is going to move the market in any significant manner.

Suezmax

Those participants who started the week with a sense of optimism may be feeling a little short changed. Td20 has spent a week flirting with W40, but attempts to push rates further have been thwarted by Charterers slow trading every cargo. Whilst the WAFR December program is fairly lean, the main physical and psychological support may yet come from the Black Sea and Libya. The December Russian Black Sea program is noticeably bigger than November, which has encouraged Charterers to reach forward, creating date-convergence with the West African fixing window. This has held a number of vessels on the Continent and West Mediterranean away from WAFR, creating some balance . MEG/East has taken a breather for now with rates likely to settle at 130KT x W45 on modern whilst Basrah/Med trades 140kt x W20-22.5.